QPCode Reg.No .....

Name .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGUUGP (HONOURS) model EXAMINATION October 2026

Semester V

SEC MG5SECECO300 SECURITY ANALYSIS AND PORTFOLIO MANAGEMENT (2024 ADMISSION ONWARDS)

Duration 1 hour 30 minutes **Maximum Marks 50**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each to enhance their overall outcome attainability.

Part A

Multiple Choice Questions

Answer all questions

Each question carries 1 mark

1. Which of the following is NOT a component of the Indian Financial System?

(a) Financial Institutions (b) Financial Markets

(c) Financial Instruments (d) International Monetary Fund **[U / CO1]**

2.The capital market deals with securities having a maturity period of

(a) Less than one year (b) More than one year

(c) Exactly one year (d) Less than six months **[U / CO1]**

3. In which market are securities issued for the first time?

(a) Secondary Market (b) Primary Market

(c) Derivatives Market (d) Money Market **[U / CO1]**

4..Which of the following is a money market instrument?

(a) Equity shares (b) Debentures

(c) Treasury Bills (d) Bonds **[U / CO1]**

5. The oldest stock exchange in India is

(a) NSE (b) BSE (c) GIFT City (d) MCX **[K / CO1]**

6. NIFTY 50 index is calculated based on

(a) Simple average method (b) Freefloat market capitalization method

(c) Priceweighted method (d) Equal weight method **[U / CO1]**

7. Which macroeconomic indicator has the strongest correlation with stock market performance?

(a) Population growth (b) GDP growth rate

(c) Literacy rate (d) Agricultural production **[An / CO1]**

8. Leading indicators in the cyclical indicator approach include

(a) Unemployment rate (b) Stock market returns

(c) GDP (d) Inflation rate **[U / CO1]**

9. An increase in money supply typically leads to

(a) Decrease in security prices (b) Increase in security prices

(c) No effect on security prices (d) Increase in interest rates only

[A / CO1]

10. If a security has a return of 12% with a standard deviation of 8%, the coefficient of variation is

(a) 0.67 (b) 5 (c) 0.9 (d) 0 **[A / CO1]**

11 In DCF analysis, the present value is calculated using

(a) Future cash flows only (b) Discount rate and future cash flows

(c) Historical prices (d) Book value **[U / CO1]**

12. Which of the following is NOT part of fundamental analysis?

(a) Economic analysis (b) Industry analysis

(c) Chart pattern analysis (d) Company analysis **[An / CO2]**

13.Technical analysis assumes that

(a) Markets are always efficient (b) Price discounts everything

(c) Fundamental factors are most important (d) Past performance doesn't indicate future results **[U / CO2]**

14. The Dow Theory identifies how many types of trends?

(a) Two (b) Three (c) Four (d) Five **[K / CO2]**

15. The Markowitz Model is primarily concerned with

(a) Technical charting (b) Portfolio diversification and optimization

(c) Bond pricing (d) Index calculation **[U / CO2]**

[1x15 = 15]

Part B

Short Answer Type questions

Answer any 10 questions

Each question carries 2 marks

16. Briefly explain the role of technical trading rules and indicators in security analysis. **[U / CO2]**

17. What are the key considerations in specifying investment objectives and constraints in portfolio management? **[U / CO2]**

18. Explain the concept of asset mix selection in portfolio construction. **[U / CO2]**

19. What are the main elements in formulating a portfolio strategy? **[U / CO2]**

20. Describe the criteria for selection of securities in a portfolio. **[U / CO2]**

21 What is portfolio revision and why is it necessary? **[U / CO2]**

22 Differentiate between value investing and growth investing strategies.**[An / CO2]**

23 Explain the Random Walk Model and its implications for market efficiency. **[U / CO2]**

24Define bond fundamentals and list the key features of a bond. **[U / CO3]**

25. Explain the relationship between bond prices and market interest rates. **[U / CO3]**

26. List and briefly describe any four types of bonds. **[U / CO3]**

27. What are the unique characteristics of the bond market in India? **[U / CO3]**

28. Explain the Capital Asset Pricing Model (CAPM) and its components.

[U / CO3

29. What is the Arbitrage Pricing Theory (APT)? How does it differ from CAPM?

[An / CO3]

30. Describe Sharpe's Single Index Model and its application in portfolio management. **[U / CO3]**

31. Differentiate between External Benchmark Lending Rate (EBLR) and Base Rate.

[An / CO3]

32. What is the role of FBIL in financial benchmarking in India? **[U / CO3]**

[2x10 = 20]

Part C

Short Essay Type questions

Answer any 3 questions

Each question carries 5 marks

33.Describe the structure of the Indian stock market. Explain the roles and functions of NSE, BSE, and GIFT City. How are major indices like NIFTY and SENSEX calculated?

[U / CO1]

34 Compare and contrast fundamental analysis and technical analysis as tools for security valuation. Discuss the assumptions, advantages, and limitations of each approach with examples. **[An / CO2]**

35. Explain the comprehensive process of portfolio management including specification of investment objectives, selection of asset mix, formulation of portfolio strategy, selection of securities, portfolio execution, and portfolio revision. Discuss how the Markowitz Model contributes to modern portfolio theory. **[E / CO2]**

36. Discuss the fundamentals of bond markets. Explain bond pricing mechanisms, bond yield calculations, and the inverse relationship between market interest rates and bond prices. Describe the various types of bonds available in the Indian bond market.

[U / CO3]

37. Examine the various asset pricing models used in financial analysis. Compare and contrast the Capital Asset Pricing Model (CAPM), Arbitrage Pricing Theory (APT), and

Sharpe's Single Index Model. Discuss their applications and limitations in portfolio management. **[E / CO3]**

[5x3 = 15]